



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session

Majority Research Staff

SB 1335: water banking; annual report; posting

GRIFFIN FLOOR AMENDMENT

1. Expands requirements of the ADWR Director (Director) when issuing groundwater savings credits to include:
 - a. utilizing of a notice of intent that pledges groundwater savings credits to a designation of assured water supply within two years after the date the credits are issued; and
 - b. allowing the holder of an Irrigation Grandfathered Right (IGFR), if receiving written confirmation of relinquishment of the IGFR, to continue to irrigate the land consistent with a temporary permit to irrigate with groundwater issued by the Director.
2. Allows a person that applies to relinquish an IGFR in exchange for groundwater savings credits to accompany the application with a request that the Director issue a temporary permit to irrigate with groundwater on relinquishment of the IGFR.
3. Requires the Director issue to the holder of the groundwater savings credit a temporary permit to irrigate with groundwater, if certain conditions are met.
4. Outlines requirements of a holder of a temporary permit to irrigate with groundwater.
5. Requires the Director, upon application from a holder of groundwater savings credits issued prior to the effective date of this legislation, to issue a holder of groundwater savings credits a temporary permit to irrigate with groundwater that allows the use of groundwater subject to existing regulations.
6. Prohibits the Director from issuing a temporary permit to irrigate with groundwater to a holder of groundwater savings credits that were issued prior to the effective date of this legislation if any outlined criteria are met.
7. Repeals the retroactive issuing ability of the Director on January 1, 2029.
8. Makes technical and conforming changes.

GRIFFIN FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO S.B. 1335
(Reference to NATURAL RESOURCES, ENERGY & WATER S/E Committee amendment)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.

~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Strike everything after the enacting clause and insert:

3 "Section 1. Section 45-465.05, Arizona Revised Statutes, is amended
4 to read:

5 45-465.05. Permanent relinquishment of irrigation
6 grandfathered rights; groundwater savings
7 credits; assured water supply; rules; report;
8 definitions

9 A. A person that owns land within the Phoenix or Pinal active
10 management area that may be legally irrigated with groundwater pursuant to
11 an irrigation grandfathered right may apply to the director to permanently
12 relinquish all of the irrigation grandfathered right in exchange for
13 groundwater savings credits. The director shall approve the application
14 if all of the following conditions apply:

15 1. The person's use of the irrigation grandfathered right complies
16 with this chapter and the applicable management plan.

17 2. For each irrigation grandfathered right that is relinquished,
18 the director determines that land to which the irrigation grandfathered
19 right is appurtenant has been legally irrigated with groundwater in at
20 least three of the preceding five years.

21 3. The person has filed all reports required pursuant to section
22 45-632 for the last five years.

23 4. The person does not maintain a negative balance in the person's
24 flexibility account established pursuant to section 45-467.

25 5. The department has not issued a certificate of assured water
26 supply for the acres associated with the relinquishment.

27 B. The director shall quantify groundwater savings credits. When
28 quantifying groundwater savings credits, the following apply:

29 1. The amount of groundwater savings ~~credit~~ CREDITS shall be
30 determined in acre-feet by multiplying the acres associated with the
31 relinquishment by the following conversion multiplier:

1 (a) In the Phoenix active management area, one hundred fifty.

2 (b) In the Pinal active management area, one hundred.

3 2. A person may not receive groundwater savings credits for a
4 volume of water that exceeds sixty times the mean amount of groundwater
5 used annually pursuant to the irrigation grandfathered right in the three
6 years with the highest use during the five years preceding an application
7 to permanently relinquish the irrigation grandfathered right. If a person
8 applies to relinquish an irrigation grandfathered right after conveyance
9 of an irrigation grandfathered right, the mean amount of groundwater used
10 annually shall be determined using a proportionate share of the total
11 amount of groundwater used annually pursuant to any irrigation
12 grandfathered rights appurtenant to the land included in the irrigation
13 grandfathered right that the person has applied to relinquish in the years
14 used to satisfy the requirements of subsection A, paragraph 2 of this
15 section.

16 C. When issuing groundwater savings credits, the director shall:

17 1. Identify all of the following:

18 (a) The amount of groundwater savings credits as calculated
19 pursuant to subsection B of this section.

20 (b) The number and location of the acres associated with the
21 relinquishment.

22 (c) The wells that have been used to serve land to which the
23 irrigation grandfathered right is appurtenant.

24 (d) The owner of the acres associated with the relinquishment at
25 the time of the relinquishment that holds the groundwater savings credits.

26 2. Determine whether the criteria prescribed in subsection D,
27 paragraph 3 or subsection E, paragraph 3 of this section would be
28 satisfied. This determination shall ~~[be applied]~~ [APPLY] to [BOTH OF THE
29 FOLLOWING:

30 (a)] An assured water supply application that is submitted to the
31 department within two years after the date the groundwater savings credits
32 are issued~~[.]~~ and [THE DETERMINATION] shall remain valid until the
33 director makes a final decision on the assured water supply application.

34 [(b) A NOTICE OF INTENT TO PLEDGE GROUNDWATER SAVINGS CREDITS TO A
35 DESIGNATION OF ASSURED WATER SUPPLY THAT A PERSON SUBMITS PURSUANT TO
36 SUBSECTION G, PARAGRAPH 2 OF THIS SECTION WITHIN TWO YEARS AFTER THE DATE
37 THE GROUNDWATER SAVINGS CREDITS ARE ISSUED, AND THE DETERMINATION SHALL
38 REMAIN VALID UNTIL THE DIRECTOR MAKES A FINAL DECISION ON THE APPLICATION
39 TO MODIFY A DESIGNATION OF ASSURED WATER SUPPLY.]

40 D. For the purposes of a designation or modification of a
41 designation of assured water supply, the volume of groundwater withdrawn
42 or stored water recovered outside the area of impact of storage associated
43 with groundwater savings credits calculated pursuant to subsection B of
44 this section is exempt from the requirement to demonstrate that the
45 groundwater is physically available in accordance with section 45-576 if
46 all of the following apply:

47 1. The acres associated with the relinquishment and the location of
48 the proposed use associated with the groundwater savings credits are or
49 will be within the service area of a municipal provider that is designated

1 as having an assured water supply or that has applied for a designation of
2 assured water supply.

3 2. The applicant proposes to withdraw groundwater or stored water
4 recovered outside of the area of impact of storage associated with the
5 groundwater savings credits from one or more of the following locations:

6 (a) Any well that was used to serve land to which the irrigation
7 grandfathered right is appurtenant.

8 (b) Any well that is located within one mile of any well that was
9 used to serve land to which the irrigation grandfathered right is
10 appurtenant.

11 (c) Any well that is located on the acres associated with the
12 relinquishment.

13 (d) Any well that is located within one mile of the acres
14 associated with the relinquishment.

15 3. The applicant demonstrates that groundwater or stored water
16 recovered outside the area of impact of storage can be withdrawn to serve
17 the proposed use for one hundred years without exceeding the depth of the
18 aquifer or the applicable depth-to-static water level limit of the active
19 management area, whichever is less. For the purposes of this
20 demonstration:

21 (a) The director may not consider other withdrawals that exceed the
22 depth of the aquifer or the applicable depth-to-static water level limit
23 during the one hundred-year period as follows:

24 (i) In the Phoenix active management area, the depth-to-static
25 water level limit is one thousand feet below land surface.

26 (ii) In the Pinal active management area, the depth-to-static water
27 level limit is one thousand one hundred feet below land surface.

28 (b) For withdrawals located within one mile of any well that was
29 used to serve land to which the irrigation grandfathered right is
30 appurtenant, the applicant may rely on the director's determination
31 pursuant to subsection C of this section, if applicable, or on the
32 director's most recent assured water supply projection to satisfy this
33 requirement. This subdivision ~~shall~~ DOES not apply if more than forty
34 percent of the water used during the period used in the director's most
35 recent assured water supply projection by land to which the irrigation
36 grandfathered right is appurtenant was in lieu water as defined in section
37 45-802.01.

38 (c) Except as provided by subdivision (b) of this paragraph, the
39 applicant must update the director's most recent assured water supply
40 projection only to make reasonable modifications to the locations or rates
41 of the withdrawals to reflect the changes that result from the proposed
42 use.

43 4. The applicant submits evidence to the department that the water
44 used pursuant to the groundwater savings program established under this
45 section will not be used on any of the following:

46 (a) Turf that is not located in a recreational use area or other
47 space that is regularly used for stormwater management or for civic,
48 community or other recreational purposes, including playgrounds, sports
49 fields, cemeteries or schoolyards.

50 (b) Water parks.

1 (c) Decorative water features, including lakes, ponds or lagoons,
2 except as provided in section 45-132, subsection B, paragraph 4,
3 subdivision (a).

4 E. For the purposes of an application for a certificate of assured
5 water supply that proposes to rely on groundwater savings credits, the
6 volume of groundwater or stored water recovered outside the area of impact
7 of storage associated with the amount of groundwater savings credits
8 calculated pursuant to subsection B of this section is exempt from the
9 requirement to demonstrate that the groundwater or stored water recovered
10 outside the area of impact of storage is physically available in
11 accordance with section 45-576 if all of the following apply:

12 1. The proposed use associated with the groundwater savings credits
13 is on the acres associated with the relinquishment or on land that is
14 located within one mile of the exterior boundary of the acres associated
15 with the relinquishment.

16 2. The applicant proposes to withdraw groundwater or stored water
17 recovered outside the area of impact of storage associated with the
18 groundwater savings credits from one or more of the following locations:

19 (a) Any well that was used to serve land to which the irrigation
20 grandfathered right is appurtenant.

21 (b) Any well that is located within one mile of any well that was
22 used to serve land to which the irrigation grandfathered right is
23 appurtenant.

24 (c) Any well that is located on the acres associated with the
25 relinquishment.

26 (d) Any well that is located within one mile of the acres
27 associated with the relinquishment.

28 3. The applicant demonstrates that groundwater or stored water
29 recovered outside of the area of impact of storage can be withdrawn to
30 serve the proposed use for one hundred years without exceeding the depth
31 of the aquifer or the applicable depth-to-static water level limit of the
32 active management area, whichever is less. For the purposes of this
33 demonstration:

34 (a) The director may not consider other withdrawals that exceed the
35 depth of the aquifer or the applicable depth-to-static water level limit
36 during the one hundred-year period as follows:

37 (i) In the Phoenix active management area, the depth-to-static
38 water level limit is one thousand feet below land surface.

39 (ii) In the Pinal active management area, the depth-to-static water
40 level limit is one thousand one hundred feet below land surface.

41 (b) For withdrawals located within one mile of any well that was
42 used to serve the irrigation grandfathered right, the applicant may rely
43 on the director's determination pursuant to subsection C of this section,
44 if applicable, or on the director's most recent assured water supply
45 projection to satisfy this requirement. This subdivision ~~shall~~ DOES not
46 apply if more than forty percent of the water used by the irrigation
47 grandfathered right during the period used in the director's most recent
48 assured water supply projection was in lieu water as defined in section
49 45-802.01.

1 (c) Except as provided by subdivision (b) of this paragraph, the
2 applicant must update the director's most recent assured water supply
3 projection only to make reasonable modifications to the locations or rates
4 of the withdrawals to reflect the changes that result from the proposed
5 use.

6 4. The applicant submits evidence to the department that the water
7 used pursuant to the groundwater savings program established under this
8 section will not be used on any of the following:

9 (a) Turf that is not located in a recreational use area or other
10 space that is regularly used for stormwater management or for civic,
11 community or other recreational purposes, including playgrounds, sports
12 fields, cemeteries or schoolyards.

13 (b) Water parks.

14 (c) Decorative water features, including lakes, ponds or lagoons,
15 except as provided in section 45-132, subsection B, paragraph 4,
16 subdivision (a).

17 F. An applicant that submits an application for a certificate of
18 assured water supply on or before December 31, 2030 may rely on
19 groundwater savings credits pledged to the certificate that is issued
20 based on that application. An applicant may not pledge groundwater
21 savings credits to an application for a certificate of assured water
22 supply that is submitted on or after January 1, 2031.

23 G. The director shall adopt rules on or before June 30, 2026
24 through expedited rulemaking to:

25 1. Set licensing time frames to issue groundwater savings credits.

26 2. Develop a summary process to ~~[apply]~~ [PLEDGE] groundwater
27 savings credits to designations of assured water supply.

28 H. Before the director issues groundwater savings credits, the
29 director shall both:

30 1. Notify the holder of the irrigation grandfathered right in
31 writing of the department's preliminary recommendations regarding the
32 items described in subsection C of this section.

33 2. Request written confirmation that the holder of the irrigation
34 grandfathered right would like to proceed with relinquishment. On receipt
35 of confirmation that the applicant would like to relinquish the irrigation
36 grandfathered right, the director shall issue groundwater savings credits
37 pursuant to subsection C of this section. THE HOLDER OF THE GROUNDWATER
38 SAVINGS CREDITS MAY [ONLY] CONTINUE TO IRRIGATE THE LAND [IN ACCORDANCE
39 WITH THE IRRIGATION GRANDFATHERED RIGHT FOR A PERIOD OF NOT MORE THAN TWO
40 YEARS AFTER THE DATE OF ISSUANCE OF THE GROUNDWATER SAVINGS CREDITS]
41 [CONSISTENT WITH A TEMPORARY PERMIT TO IRRIGATE WITH GROUNDWATER THAT THE
42 DIRECTOR ISSUES PURSUANT TO SUBSECTION C OF THIS SECTION].

43 I. A person that holds groundwater savings credits may assign the
44 person's credits to the subsequent owner of the acres associated with the
45 relinquishment. A person that holds groundwater savings credits may
46 pledge the credits to an assured water supply application that proposes to
47 rely on the credits pursuant to subsection D or E of this section.

48 J. After the director issues a certificate of assured water supply
49 based on groundwater savings credits, if a municipal provider that serves
50 acres associated with the relinquishment becomes a designated provider or

1 if the service area of a designated provider is extended to include the
2 subdivision for which a certificate of assured water supply was issued,
3 the remaining groundwater savings credits associated with the certificate
4 shall be used to support the designation.

5 K. On acres associated with the relinquishment and areas within one
6 mile of the acres associated with the relinquishment that use groundwater
7 pursuant to subsection E of this section, the following prohibitions
8 apply:

9 1. A municipal provider or association as defined in section
10 33-1802 may not use the groundwater or stored water recovered outside the
11 area of impact of storage for any of the following:

12 (a) Application to turf that is not located in a recreational use
13 area or other space that is regularly used for stormwater management or
14 for civic, community or recreational purposes, including playgrounds,
15 sports fields, cemeteries or schoolyards.

16 (b) Water parks.

17 (c) Decorative water features, including lakes, ponds or lagoons,
18 except as provided in section 45-132, subsection B, paragraph 4,
19 subdivision (a).

20 2. An association as defined in section 33-1802 may not adopt or
21 enforce ~~any~~ EITHER of the following:

22 (a) Minimum turf requirements for turf that is not located in a
23 recreational use area or other space that is regularly used for stormwater
24 management or for civic, community or recreational purposes, including
25 playgrounds, sports fields, cemeteries or schoolyards.

26 (b) Requirements for the installation, filling or refilling of:

27 (i) Water parks.

28 (ii) Decorative water features, including lakes, ponds or lagoons,
29 except as provided in section 45-132, subsection B, paragraph 4,
30 subdivision (a).

31 L. The director may adopt rules to implement the groundwater
32 savings program prescribed by this section for the Tucson active
33 management area that include an applicable conversion multiplier and
34 necessary parameters to ensure groundwater savings in the Tucson active
35 management area if the director determines that all of the following
36 apply:

37 1. Groundwater withdrawals in the Tucson active management area
38 over a period of one hundred years will exceed the depth-to-static water
39 level of one thousand feet or the depth of the aquifer, whichever is less.

40 2. A groundwater savings program established in the Tucson active
41 management area would reduce groundwater use over the next one hundred
42 years.

43 3. Expanding the program to include the Tucson active management
44 area would be in the best interest of that active management area and of a
45 conservation district.

46 M. Section 45-114, subsections A and B govern administrative
47 proceedings, rehearing or review and judicial review of final decisions of
48 the director pursuant to this section.

49 N. On application to the director by the current owner of the acres
50 associated with the relinquishment, the director shall restore a

1 relinquished irrigation grandfathered right and rescind all issued
2 groundwater savings credits if the groundwater savings credits have not
3 been pledged to a certificate of assured water supply or a designation of
4 assured water supply pursuant to section 45-576, subsection M.

5 [O. A PERSON THAT APPLIES TO RELINQUISH AN IRRIGATION GRANDFATHERED
6 RIGHT IN EXCHANGE FOR GROUNDWATER SAVINGS CREDITS MAY ACCOMPANY THE
7 APPLICATION WITH A REQUEST THAT THE DIRECTOR ISSUE A TEMPORARY PERMIT TO
8 IRRIGATE WITH GROUNDWATER. ON RELINQUISHMENT OF THE IRRIGATION
9 GRANDFATHERED RIGHT, AND ONLY IF A REQUEST ACCOMPANIES THE APPLICATION TO
10 RELINQUISH AN IRRIGATION GRANDFATHERED RIGHT, THE DIRECTOR SHALL ISSUE TO
11 THE HOLDER OF THE GROUNDWATER SAVINGS CREDIT A TEMPORARY PERMIT TO
12 IRRIGATE WITH GROUNDWATER.

13 P. THE HOLDER OF A TEMPORARY PERMIT TO IRRIGATE WITH GROUNDWATER
14 ISSUED PURSUANT TO SUBSECTION O OF THIS SECTION IS AUTHORIZED TO USE
15 GROUNDWATER FOR IRRIGATION ON THE LAND THAT QUALIFIED AS IRRIGATION ACRES
16 UNDER THE RELINQUISHED IRRIGATION GRANDFATHERED RIGHT, AS IF THE RIGHT HAD
17 NOT BEEN RELINQUISHED. SUBJECT TO ALL OF THE FOLLOWING:

18 1. ALL REQUIREMENTS AND LIMITATIONS OF THIS CHAPTER AND OF THE
19 RELINQUISHED IRRIGATION GRANDFATHERED RIGHT THAT WOULD APPLY AS IF THE
20 RIGHT HAD NOT BEEN RELINQUISHED.

21 2. THE APPLICABLE MANAGEMENT GOAL AND THE APPLICABLE MANAGEMENT
22 PLAN FOR THE ACTIVE MANAGEMENT AREA WHERE THE LANDS TO WHICH THE
23 RELINQUISHED IRRIGATION GRANDFATHERED RIGHT WAS APPURTENANT ARE LOCATED,
24 AS IF THE RIGHT HAD NOT BEEN RELINQUISHED.

25 3. A FARM THAT IS AUTHORIZED TO USE GROUNDWATER PURSUANT TO A
26 TEMPORARY PERMIT TO IRRIGATE WITH GROUNDWATER MAY NOT MAINTAIN A
27 FLEXIBILITY ACCOUNT PURSUANT TO SECTION 45-467, EXCEPT THAT IF THE AMOUNT
28 OF GROUNDWATER USED TO IRRIGATE THE FARM IN AN ACCOUNTING PERIOD EXCEEDS
29 THE AMOUNT OF THE CURRENT IRRIGATION WATER DUTY FOR THE FARM MULTIPLIED BY
30 THE WATER DUTY ACRES IN THE FARM, THE HOLDER OF THE TEMPORARY PERMIT TO
31 IRRIGATE WITH GROUNDWATER MAY OBTAIN CREDITS REGISTERED TO THE FLEXIBILITY
32 ACCOUNT OF ANOTHER FARM PURSUANT TO SECTION 45-467.

33 4. THE TEMPORARY PERMIT TO IRRIGATE WITH GROUNDWATER MAY BE LEASED
34 FOR AN IRRIGATION USE WITH THE LAND THAT IS ENTITLED TO BE IRRIGATED UNDER
35 THE TEMPORARY PERMIT.

36 5. THE TEMPORARY PERMIT TO IRRIGATE WITH GROUNDWATER TERMINATES TWO
37 YEARS AFTER THE DIRECTOR ISSUES THE GROUNDWATER SAVINGS CREDITS UNLESS ONE
38 OF THE FOLLOWING OCCURS EARLIER, WHICH IMMEDIATELY TERMINATES THE
39 TEMPORARY PERMIT TO IRRIGATE WITH GROUNDWATER:

40 (a) THE RELINQUISHED IRRIGATION GRANDFATHERED RIGHT IS RESTORED.

41 (b) THE ASSOCIATED GROUNDWATER SAVINGS CREDITS ARE PLEDGED TO A
42 CERTIFICATE OF ASSURED WATER SUPPLY OR DESIGNATION OF ASSURED WATER SUPPLY
43 AND THE CERTIFICATE OF ASSURED WATER SUPPLY IS ISSUED OR THE DESIGNATION
44 OF ASSURED WATER SUPPLY IS ISSUED OR MODIFIED TO INCLUDE THE GROUNDWATER
45 SAVINGS CREDITS.

46 (c) A PERSON WHO PROPOSES TO OFFER SUBDIVIDED LANDS AS DEFINED IN
47 SECTION 32-2101, FOR SALE OR LEASE ON LAND THAT IS ENTITLED TO BE
48 IRRIGATED UNDER THE TEMPORARY PERMIT OBTAINS A WRITTEN COMMITMENT OF WATER
49 SERVICE FOR THE PROPOSED SUBDIVISION AS DEFINED IN SECTION 32-2101 FROM A

1 CITY, TOWN OR PRIVATE WATER COMPANY DESIGNATED AS HAVING AN ASSURED WATER
2 SUPPLY PURSUANT TO SECTION 45-576.

3 (d) THE ACRES ASSOCIATED WITH THE RELINQUISHMENT QUALIFY AS MEMBER
4 LAND OF A CONSERVATION DISTRICT AS PROVIDED BY TITLE 48, CHAPTER 22.

5 6. FOR THE PURPOSES OF CHAPTER 3.1 OF THIS TITLE RELATING TO THE
6 STORAGE OF WATER, WATER THAT A PERSON DELIVERS PURSUANT TO A TEMPORARY
7 PERMIT TO IRRIGATE WITH GROUNDWATER IS CLASSIFIED AS WATER DELIVERED TO
8 THE RELINQUISHED IRRIGATION GRANDFATHERED RIGHT TO DETERMINE THE ANNUAL OR
9 LONG-TERM STORAGE CREDITS A PERMIT HOLDER MAY ACCRUE PURSUANT TO A
10 GROUNDWATER SAVINGS FACILITY PERMIT.]

11 ~~[0.]~~ [Q.] For the purposes of this section:

12 1. "Acres associated with the relinquishment" means land to which
13 the irrigation grandfathered right that is relinquished in exchange for
14 groundwater savings credits was appurtenant.

15 2. "Municipal provider" has the same meaning prescribed in section
16 45-561.

17 3. Stored water recovered outside the area of impact does not
18 include long-term storage credits issued to the Arizona water banking
19 authority or held by the Arizona water banking authority at any time.

20 4. "Well" includes a replacement well as prescribed in section
21 45-597 or 45-598."

22 <<Sec. 2. Section 45-494, Arizona Revised Statutes, is amended to
23 read:

24 45-494. Withdrawals by irrigation districts in initial active
25 management areas

26 In an initial active management area established pursuant to section
27 45-411:

28 1. An irrigation district existing and engaged in the withdrawal,
29 delivery and distribution of groundwater as of January 1, 1977 shall have
30 the right, subject to section 45-496 and section 45-493, subsection D:

31 (a) To withdraw and transport groundwater within its service area
32 for the benefit of landowners within its service area, and the landowners
33 are entitled to use the groundwater delivered, provided [THAT] claims of
34 landowners to irrigation grandfathered rights~~[.]~~ [OR] type 1 [OR]
35 [NON-IRRIGATION GRANDFATHERED RIGHTS OR TYPE] 2 non-irrigation
36 grandfathered rights [OR PURSUANT TO A TEMPORARY PERMIT TO IRRIGATE WITH
37 GROUNDWATER ISSUED PURSUANT TO SECTION 45-465.05] shall be subject to
38 article 5 of this chapter.

39 (b) If legally withdrawing and transporting groundwater from
40 outside its service area for use within its service area as of January 1,
41 1977, to continue to withdraw and transport the amount of groundwater
42 legally being withdrawn as of January 1, 1977.

43 2. An irrigation district that was not engaged in the withdrawal,
44 delivery and distribution of groundwater as of January 1, 1977 shall be
45 limited to the right, subject to section 45-496, to:

1 (a) Contract for surface water from a multi-county water
2 conservation district and deliver and distribute such water within its
3 service area for irrigation purposes.

4 (b) If, as of January 1, 1983, the district had been recommended by
5 the director to receive an allocation of municipal and industrial water
6 from the central Arizona project, contract for surface water from a multi-
7 county water conservation district and deliver such surface water to
8 cities, towns or private water companies for municipal, industrial and
9 domestic purposes, subject to the following conditions:

10 (i) The cities, towns and private water companies shall distribute
11 the water within the boundaries of the district in effect as of the date
12 of validation of the district's central Arizona project subcontract.

13 (ii) In contracting for the delivery of such surface water, the
14 district shall offer the water, first, to cities and towns that distribute
15 water to land within the boundaries of the district or to land adjacent or
16 contiguous to the district and, second, if the cities or towns are
17 unwilling or unable to take and distribute such surface water, to private
18 water companies within the boundaries of the district that have not been
19 recommended to receive or have not received an allocation of municipal and
20 industrial water from the central Arizona project.

21 (iii) Notwithstanding article 5 of this chapter, the original owner
22 and any new owner of a type 1 non-irrigation grandfathered right created
23 pursuant to section 45-469 that is appurtenant to land in the district to
24 which such surface water is distributed by a city, town or private water
25 company may use groundwater withdrawn pursuant to that right only on the
26 land to which the right is appurtenant.

27 (iv) The district may amend its contract, or execute a new
28 contract, with the United States secretary of the interior and a multi-
29 county water conservation district to provide for the conversion of
30 irrigation water deliveries to municipal and industrial water deliveries
31 as provided by law and pursuant to the secretary's regulations relating to
32 conversion, but such amendment may be made or new contract executed only
33 if the amount of municipal and industrial water for which the district
34 would qualify by conversion of lands from irrigation to non-irrigation
35 uses exceeds the secretary's initial express allocation of municipal and
36 industrial water to the district for the year 2034 and only to the extent
37 of the excess.

38 (v) Such surface water shall not be distributed by any city, town
39 or private water company to any land with respect to which an allocation
40 of municipal and industrial water from the central Arizona project has
41 been made or recommended for some person other than the district.

42 (c) Contract to purchase, deliver and distribute effluent within
43 its service area for irrigation purposes.

44 (d) Withdraw, deliver and distribute within its service area the
45 amount of groundwater allowed by the current irrigation water duty of each
46 member farm multiplied by the water duty acres in that farm ~~[less]~~
47 [, INCLUDING EACH MEMBER FARM AUTHORIZED TO USE GROUNDWATER FOR IRRIGATION
48 PURSUANT TO A TEMPORARY PERMIT TO IRRIGATE WITH GROUNDWATER ISSUED
49 PURSUANT TO SECTION 45-465.05, MINUS] any portion of such amount withdrawn
50 by individual members.

1 (e) Continue but not expand any non-irrigation water service being
2 lawfully provided as of the date of the designation of the active
3 management area, except as provided in subdivision (b) of this paragraph
4 and in section 45-497, subsection B.>>

5 <<Sec. 3. Temporary permits to irrigate with groundwater;
6 time frame; fee; delayed repeal

7 [A. On application by a holder of groundwater savings credits that
8 were issued before the effective date of this act, the director of the
9 department of water resources shall issue to the holder of groundwater
10 savings credits a temporary permit to irrigate with groundwater that
11 authorizes the use of groundwater subject to the limitations prescribed in
12 section 45-465.05, subsection P, Arizona Revised Statutes, as added by
13 this act.

14 B. The director of the department of water resources may not issue
15 a temporary permit to irrigate with groundwater to a holder of groundwater
16 savings credits that were issued before the effective date of this act if
17 either of the following has occurred:

18 1. More than two years have elapsed after the issuance of the
19 groundwater savings credits.

20 2. Any condition prescribed in section 45-465.05, subsection P,
21 paragraph 5, Arizona Revised Statutes, as added by the act, has occurred.

22 C. An application submitted pursuant to subsection A of this
23 section is subject to a new licensing time frame and application fee. The
24 licensing time frame and application fee shall be the same as the
25 licensing time frame and application fee established through rule for an
26 application to relinquish an irrigation grandfathered right in exchange
27 for groundwater savings credits under section 45-465.05, Arizona Revised
28 Statutes, as amended by this act.

29 D. This section is repealed from and after January 1, 2029.]>>

30 Enroll and engross to conform
31 Amend title to conform

GAIL GRIFFIN

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